

FEDERAL MARITIME COMMISSION

INFORMAL DOCKET NO. 1947(I)

SALOMON AND JASMIN GRUENBERG-REISNER

v.

**OVERSEAS MOVING SPECIALISTS d/b/a
INTERNATIONAL SEA & AIR SHIPPING**

DECISION ON REMAND

Decision of Theresa Dike, Small Claims Officer¹

Total Reparations granted in the amount of \$15,505.61.

I. INTRODUCTION

This Decision on Remand is issued pursuant to the Commission's October 7, 2016, Memorandum Opinion and Order remanding this proceeding for a determination whether Respondent Overseas Moving Specialists d/b/a International Sea and Air Shipping ("Overseas") reasonably assessed U.S. terminal handling charges and fuel surcharges to Claimants Salomon and Jasmin Gruenberg-Reisner. *See Gruenberg-Reisner v. Overseas Moving Specialists, Inc. d/b/a International Sea and Air Shipping*, Informal Docket No. 1947(I), Memorandum Opinion and

¹ Pursuant to 46 C.F.R. §502.304(g), this decision will become final unless the Commission elects to review it within 30 days of the date of service.

Order (FMC 2016) (“Opinion and Order”). As discussed in greater detail below, the record does not demonstrate that Overseas reasonably assessed those pass-through charges. I thus find that Overseas is not entitled to collect the U.S. terminal handling charges and fuel surcharges from Claimants.

II. BACKGROUND

Claimants and Overseas, an FMC-licensed non-vessel-operating common carrier (“NVOCC”), entered into a shipping agreement to transport Claimants’ household goods, car, and motorcycle from the United States to Switzerland by ocean in two containers - a 40-foot and a 20-foot container - for freight in the amount of \$17,575. *See Gruenberg-Reisner v. Overseas Moving Specialists, Inc. d/b/a International Sea and Air Shipping*, Informal Docket No. 1947(I), Decision, (SCO June 30, 2015) (“SCO Decision”) at 2. When movers sent by Overseas arrived on June 3, 2014, to pack and pick up the goods for shipping they informed Claimants that the allotted 20-foot and 40-foot containers would be insufficient to move all of Claimants’ goods. Overseas subsequently invoiced Claimants for charges totaling \$40,267, more than twice the agreed amount. That amount comprised the prior agreed upon freight, charges for an additional 20-foot container, and other additional charges, which Claimants paid. *Id* at 3.

On December 4, 2015, Claimants filed a small claims complaint (“Claim”) at the Federal Maritime Commission (“FMC” or “Commission”) under 46 C.F.R. Subpart S of the Commission’s Rules of Practice and Procedure, to recover the additional payment, alleging that Overseas violated 46 U.S.C. § 41102(c) of the Shipping Act of 1984 by forcing them to pay the additional charges. Small Claims Form at ¶ V. Claimants also alleged that Overseas made negligent representations to them, breached the terms of the shipping agreement, made an unwarranted delay in delivering their goods, converted their personal property in bad faith, caused them to face increased risks and

possible penalties by failing to declare their motorcycle at Swiss customs and caused them to incur property damages and losses. Claim at 3. Claimants requested reparations in the amount of \$44,000. SCO Decision at 5.

On June 30, 2015, the SCO decision was issued, dismissing the claims alleging negligent representation, breach of contract, unwarranted delivery delay, conversion, failure to declare the motorcycle through customs and cargo loss and damage. *Id.* at 8, 16-18. Overseas was found to have violated 46 U.S.C. § 41102(c) by forcing Claimants to pay additional charges to which Overseas was not entitled. *Id.* at 2, 9-10, 19. Claimants were granted reparations in the amount of \$17,847.21, reflecting the difference between the \$40,262.46 they paid and \$22,415.25, the amount it was determined Overseas was entitled to collect from Claimants. *Id.* at 19.

Specifically, it was found that Overseas was entitled to collect the following charges:

1. \$17,575.00 agreed upon freight.
2. \$3,665.00 for insurance purchased by Claimants.
3. \$671.94 (€494)² MSC destination terminal handling charges.
4. \$503.31 (€375) additional charges for delivery to Claimants' fourth floor apartment.

SCO Decision at 19. It was also determined that Overseas was not entitled to collect the following charges totaling \$17,847.21 (reparations amount):

1. \$9,925.00 charges for the additional 20-foot container.
2. \$627.43 U.S. terminal handling charges for the additional 20-foot container.
3. \$531.29 U.S. terminal handling charges for the first 20-foot container.
4. \$782.84 U.S. terminal handling charges for the 40-foot container.
5. \$2,533.47 Fuel surcharge
6. \$898.00 local port fees
7. \$369.47 parking permit fee
8. \$803.13 elevator fee for the second delivery to Claimants' fourth floor apartment.
9. \$271 (€200) customs inspection fees for Claimants' car and motorcycle

SCO Decision at 12-16.

² The currency conversion tool at the website www.oanda.com/currency/converter was used to determine the exchange rate and US dollar equivalent amount on the date the payments were made.

On July 6, 2015, the Commission issued a notice that it had determined to review the SCO Decision. On October 7, 2016, the Commission issued the Opinion and Order, affirming the finding that Overseas violated 46 U.S.C. § 41102(c) and the dismissal of Claimants' remaining claims. Opinion and Order at 2, 8, 18. The Commission also affirmed the finding that Overseas was not entitled to collect payment for ocean freight and assessorial charges for the second 20-foot container. *Id.* at 10.

The Commission reversed the finding that Overseas was not entitled to collect the customs inspection fees for Claimants' car and motorcycle and certain other fees - local fees, parking permit fee, and a second additional floor (elevator) fee. *Id.* at 2, 15-16. The Commission found that the customs fees were reasonable pass-through fees adequately supported by invoices provided by Overseas, were excluded from the quoted price, and Overseas had published in its rules tariff that any inspection fees would be passed through to the shipper. *Id.* at 15-16. The Commission stated that no explanation had been provided why Overseas was not entitled to the local port fees, the parking permit fee, and the elevator fee, for which Overseas had provided invoices showing that it incurred the charges and was passing them on to Claimants in accordance with Overseas's rules tariff. *Id.* at 18.

The Commission remanded this proceeding for a determination whether the U.S. terminal handling charges (\$1,941.56) and fuel surcharge (\$2,533.47) imposed by Overseas were reasonably assessed. Opinion and Order at 16. The Commission stated that it had found "error in the [SCO's] holding that Overseas must provide evidence of additional charges 'or face a negative inference.'" *Id.* The Commission noted, quoting a provision in *C.H. Leavell & Co. v. Hellenic Lines, Ltd.*, 13 F.M.C. 76, 89 (FMC 1969), that "[t]he Commission has found that a carrier, under some circumstances, may recover reasonable charges it incurred without providing evidence that

it incurred those charges.”³ *Id.*

The Commission also found that “[w]hile the SCO requested that Overseas provide supporting documentation for the charges, Overseas had a mere six weeks to obtain those invoices. We do not believe that Overseas had sufficient time to contact the vessel ocean common carrier and track down the exact amount of these charges.” Opinion and Order at 16. The Commission recommended that the vessel ocean common carrier (VOCC)’s invoices be requested from Overseas again and should Overseas be unable to produce them “the SCO look at other factors such as whether the charges were similar to those assessed by other NVOCCs,” because “[t]he invoices however, are not the only indication of whether the charges were reasonable.” Opinion and Order at 16-17.

The SCO Decision found that Overseas failed to deliver Claimants’ goods in one trip [resulting in two elevator trips instead of one] because “Overseas did not have a truck large enough to deliver Claimants’ entire shipment in one trip.” The SCO decision held that Overseas was not entitled to impose a second “additional floors” fee for the use of the outside elevator to access Claimants’ fourth floor apartment because for the second trip “Overseas’ failure to deliver [all of] Claimants’ goods on the first trip resulted from Overseas’ poor management of the delivery process, not through any actions by Claimants.” *See* SCO Decision at 5, 16. The Commission held that Respondent is entitled to the second elevator fee and did not remand on this issue.

In compliance with the Commission’s recommendation that the VOCC’s invoices be requested again from Overseas or consideration be given to whether the charges in question were similar to those assessed by other NVOCCs, the undersigned sent an email to Claimants and Overseas on November 2, 2016. In the email, Overseas was invited “to submit [on or before

³ A discussion of the Commission’s opinion in *C.H. Leavell* follows *infra* at pages 24 to 30.

February 2, 2017] any invoices or other proof of the charges it received in connection with the fuel surcharge and U.S. terminal handling charges.” The email stated that “[i]f Respondent is unable to produce the invoices an affidavit so stating, and evidence showing that the ‘charges were similar to those assessed by other NVOCCs’ may be submitted in their place.” *See* November 2, 2016, Email to Overseas and Claimants. On February 2, 2017, Overseas submitted a response. On February 15, 2017, Claimants filed a response to Overseas’s submissions and on March 1, 2017, Overseas submitted a reply to Claimants’ response.

A. Overseas’s Submissions

Overseas submitted an affidavit by its president, Boaz Aviani (“Aviani Affidavit”), and three documents containing rate quotes.

1. Aviani Affidavit:

Aviani states that he is “unable to produce separate invoices for the fuel surcharges and U.S. terminal handling charges” but that “the absence of such separate invoices does not change the fact that these charges were just and reasonable and, therefore, appropriate charges submitted to the Claimants.” Aviani Affidavit at ¶ 3. Aviani avers that the terminal handling charges billed to Claimants were consistent with Overseas’ incurred costs at its warehouse based on the personnel it needed to handle Claimants’ goods and to prepare the goods for shipment overseas in keeping with the shipping agreement entered into by the parties. *Id.* at ¶ 4. Aviani contends that the fuel surcharges “were in accordance with industry standards for such charges.” *Id.* at ¶ 5.

2. The Rate Quotes:

Overseas submitted the following three documents: 1) A rate quote from ECU Worldwide (“ECU”) dated November 22, 2016, for the transportation of household goods by ocean from the Port of Everglades, Florida to Providenciales, Turks and Caicos Islands. Quotations based on

container sizes are provided in the document - one totaling \$2,845 for a 20-foot container, comprising charges of \$2,526 ocean freight and \$319 bunker surcharge;⁴ another totaling \$4,549 for a 40-foot container, comprising charges of \$3,934 ocean freight and \$615 bunker surcharge; a third totaling \$4,549 for a 40-foot high cube (HC) container, comprising charges of \$3,934 ocean freight and \$615 bunker surcharge. 2) A rate quote from Matson dated August 12, 2016, for domestic ocean transportation of used household goods from Kearny, New Jersey to Kawaihae, Hawaii through the Port of Oakland⁵ totaling \$8,867.90, comprising charges of \$4,381 ocean freight, \$3,729 Inland Transportation, \$199.02 N.J. Wharfage Arbitrary, \$11.25 Invasive Species Fee and \$547.63 Bunker Adjustment Factor. According to a statement in the document, the bunker adjustment factor represents 12.50% of the ocean freight (\$4,381). 3) Another Matson rate quote also dated August 12, 2016, for domestic ocean transportation of used household goods from Kearny, New Jersey to Kawaihae, Hawaii through the Port of Los Angeles totaling \$7,646.40, comprising charges of \$3,875 ocean freight, \$3,180 Inland Transportation, \$99.52 N.J. Wharfage Arbitrary, \$7.50 Invasive Species Fee and \$484.38 Bunker Adjustment Factor. This rate quote also contains a statement that the bunker adjustment factor represents 12.50% of the ocean freight amount (\$3,875).

B. Claimants' Response:

Claimants submitted a letter brief ("Cl. Brief"), supported with two CMA CGM invoices ("Exhibit A") and an MSC rate sheet, ("Exhibit B") and a sworn declaration by John B. Falcone

⁴ A "Bunker Charge," is an "extra charge sometimes added to steamship freight rates; justified by higher fuel costs. Also known as Fuel Adjustment Factor or FAF." See https://www.marad.dot.gov/wp-content/uploads/pdf/Glossary_final.pdf.

⁵ The two Matson quotations appear to be for a domestic ocean transportation. The Commission regulates ocean transportation between the United States and a foreign destination, and has no jurisdiction over charges connected to domestic ocean transportation.

(“Falcone Decl.”). Falcone is “the Chief Executive of Falcone Global Solutions, LLC (“FGS”),” a Commission-licensed NVOCC and Freight Forwarder.⁶ Falcone Decl. at 1.

1. Documents Submitted by Claimants:

Claimants submitted three documents: 1) A document issued by MSC for a port to port move, which Falcone states is an “all-in” rate sheet issued to FGS by MSC in 2016. *See* Falcone Decl. at ¶ 6f. The port of loading is Baltimore, Maryland and the port of destination is Rotterdam, Netherlands. The rate sheet reflects: a rate of \$846 for a 20-foot container, comprising charges of \$836 ocean freight and \$10 Solas Admin Fee⁷; a second rate of \$936 for a 40-foot container comprising charges of \$926 ocean freight and \$10 Solas Admin Fee; and a third rate of \$936 for a 40-foot high cube (HC) container, comprising charges of \$926 ocean freight and \$10 Solas Admin Fee. 2) Two invoices dated September 20, 2016, from CMA CGM for the transportation of a 20-foot container of Kraft paper and paperboard by ocean from New York, New York to the Port of Rotterdam for total charges in the amount of \$350, comprising charges of \$250 ocean freight, \$25 export declaration surcharge and \$75 export documentation fee.⁸

2. Falcone Declaration:

Falcone states that he has over twenty years of experience in the transportation, logistics and supply chain industry. Falcone states that as the Chief Executive of FGS he has personal knowledge of the facts asserted in his declaration and knows them to be true because FGS specializes in the transportation of cargo between the United States and Europe, has shipped “thousands of containers between the United States and Europe . . . and regularly arranges the

⁶ *See* <https://home-fmcgov.msapproxy.net/rpi/SearchRPI.aspx>

⁷ “SOLAS” is an acronym for the “Safety of Life at Sea” convention, an international treaty concerning the safety of merchant ships. Effective July 1, 2016, each international ocean shipment is subject to a SOLAS Admin Fee. *See, e.g.,* [http://www.imo.org/en/About/conventions/listofconventions/pages/international-convention-for-the-safety-of-life-at-sea-\(solas\),-1974.aspx](http://www.imo.org/en/About/conventions/listofconventions/pages/international-convention-for-the-safety-of-life-at-sea-(solas),-1974.aspx).

⁸ Claimants appear to have submitted two identical invoices.

transportation of containers to and from the port of Rotterdam.” Falcone Decl. at ¶ 2. Additionally, Falcone states that because FGS regularly ships containers between the U.S. and Europe, he is “very familiar with typical container rates and typical surcharges for fuel and terminal handling.” *Id.* at ¶ 3.

Falcone notes that in preparing his declaration he reviewed Overseas’ Invoice INV66155 to Claimants dated June 10, 2014 (containing the charges in dispute), MSC Invoices SL9140701428 and SL9140701429 to Overseas dated July 2, 2014, for transport to Rotterdam (containing MSC’s destination charges in the Netherlands), and the Aviani affidavit and rate quotes. *Id.* at ¶¶ 4a-c. Falcone notes that Overseas’ Invoice INV66155 contains US terminal handling charges in the amount of \$1,941.56, a fuel surcharge of \$2,533.47, ocean freight of \$8,550 for a 20-foot container and ocean freight of \$10,300 for a 40-foot container. *Id.* at ¶ 5. He asserts that the 2016 rate quotes submitted by Overseas to justify their charges to Claimants in 2014, which contain fuel surcharges ranging from \$319 for a 20-foot container, to \$615 for a 40-foot container, do not support or justify the \$2,533.47 fuel surcharge imposed by Overseas. *Id.* at ¶ 6. Falcone explains that typically U.S. to Europe are backhaul lanes⁹ and that carriers typically build in fuel surcharges and terminal handling charges into the “all-in” rates they charge from the United States to Europe rather than charging bunker surcharges and terminal handling charges. Falcone concludes that he would not expect Overseas to be able to produce invoices from the VOCC that transported Claimants’ shipment supporting Overseas’s fuel surcharge and the domestic terminal handling charges to Claimants because they “typically do not exist in this lane.” *Id.* at ¶¶ 6a-b.

⁹ To “backhaul” means to “haul a shipment back over part of a route [a vessel] has traveled.” See https://www.marad.dot.gov/wp-content/uploads/pdf/Glossary_final.pdf. A backhaul lane is the lane the ship travels to return to its origin after delivering its shipment. Charges on a backhaul lane are lower because, “[s]ince it costs almost as much time to travel empty as fully loaded [backhauling] makes economic sense, since it helps to pay for the operating expenses for the trip back to the originating point.” [https://en.wikipedia.org/wiki/Backhaul_\(trucking\)](https://en.wikipedia.org/wiki/Backhaul_(trucking))

Falcone states that Overseas “overcharged with a remarkably, unreasonably high ocean freight on the containers at issue - \$8,550 for a 20-foot container and \$10,300 for a 40-foot container.” *Id.* at ¶ 6c. Falcone states that current MSC co-loader rates through ECU for Baltimore to Rotterdam (Claimants’ Exhibit A) are approximately \$846 “all-in” for a 20-foot container and \$946 “all-in” for a 40-foot container, including fuel and terminal handling surcharges and that these rates are higher now than in 2014 when Overseas shipped the containers at issue. *Id.*

Falcone states that the use of 2016 rate quotes provided by Overseas for the California to Hawaii lanes and for the Turks and Caicos lane is “an apples-to-oranges comparison, which is not representative of rates on a move from the Eastern Seaboard to Rotterdam.” *Id.* at ¶ 6d. Falcone contends that because “surcharges can vary by lane and distance” and, moreover, the lanes in the rate quotes may not be backhaul lanes like the United States to Europe, he would expect the actual charges for the Baltimore to Rotterdam lane “to be significantly different, and lower, than the rate quotes submitted by Respondent.” *Id.* Falcone states in addition, that the ECU and Matson rate quotes “appear to be abnormally high rates.” Falcone notes that moreover, because “ECU is a co-loader who resells ocean rates” while Overseas “does not operate directly with a carrier, resulting in an additional layer of intermediary charges,” Overseas is “not making an apple-to-apples comparison.” *Id.* at ¶ 6e.

Falcone asserts that the MSC rate sheet submitted by Claimants, although also for 2016, is a more accurate comparison, which reflects substantially lower rates and non-existent fees, and contains fuel origin charges but excludes destination charges. *Id.* at ¶ 6f. Falcone notes in addition that the CMA CGM invoices submitted by Claimants are for \$350 “all-in” ocean freight for a 20-foot container and reflect recent 2016 rates. He states that the invoices were issued in 2016, similar to the 2016 rate quotes submitted by Overseas, that the rates are obtained directly from steamship

lines, and are for transportation from New York to Rotterdam. Falcone states that the invoices prove that the fuel and terminal handling surcharges by Overseas was higher than reasonable for “all-in” freight rates. *Id.* Falcone notes, moreover, that rates and surcharges in 2016 are higher than they were in 2014, and concludes that the 2016 rate quotes provided by Overseas overstate charges applicable to Claimants’ containers. He states that similarly the rates in the MSC rate sheet provided by Claimants would have been lower in 2014, when Overseas used MSC in transporting Claimants’ goods. *Id.* at ¶ 6g. Falcone notes that the documents provided by Claimants are copies of invoices and rate sheet charges billed to FGS for the Baltimore to Rotterdam lanes and the New York to Rotterdam lanes.

3. Claimants’ Brief:

Claimants contend that the Aviani Affidavit fails to show Overseas is entitled to collect the terminal handling charges and fuel surcharges for a number of reasons. Cl. Brief at 1. Citing the Falcone declaration, Claimants argue that first, Overseas’s charges “are objectively unreasonable” because “full ocean freight rates are typically lower than the fuel and terminal handling surcharges invoiced by Overseas to Claimants.” *Id.*

Claimants argue that secondly, the Aviani Affidavit is “conclusory and completely unsupported by the attached documents.” *Id.* Claimants note that the documents submitted by Overseas are rate quotes, not actual charges. They argue that even setting aside the fact that the fuel surcharges in the quotes - \$547.63 to \$615 for a 40-foot container, and \$319.00 to \$484.38 for a 20-foot container - are higher than would typically be charged for all-in ocean freight rates, the quotes are still substantially lower than the \$2,533.47 fuel surcharges Overseas claims they owe. *Id.* at 1-2. Claimants argue that Overseas’s charges were unreasonable; Overseas provides no documents to justify the \$1,941.56 terminal handling charges; and opine that “this absence of evidence is likely because no such surcharges ever actually existed.” *Id.* at 2. Citing the Falcone

declaration, Claimants state that “ocean freight rates from the Eastern United States to Europe typically include fuel and origin surcharges, because it is a backhaul line,” thus “Overseas appears to have double-charged Claimants for non-existent surcharges that would have been included in base ocean freight rates.” *Id.*

Claimants argue thirdly, that the documents submitted by Overseas “make an apples-to-oranges comparison” with the shipments at issue because Claimants contracted to ship their household goods from Arlington, Virginia to Geneva, Switzerland with a move date of June 2014, whereas the charges in the 2016 rate quotes provided by Overseas are 2016 charges for two transpacific routes and a Florida to Turks & Caicos route. Claimants argue that, therefore, the charges submitted are for different lanes, with different mileage, in different years, and on different shipping lines. *Id.* Claimants note, moreover, that one of the charges submitted by Overseas was arranged through a co-loader whereas the record contains no evidence that Overseas used a co-loader when it transported Claimants’ containers. *Id.* Claimants assert that the documents [which show 2016 quotes] do not establish that Overseas was assessed the pass-through charges. *Id.*

Claimants argue fourthly, that the Commission stated that “assessing pass-through charges with no markup is a just and reasonable practice,” but Overseas fails to provide invoices or documents showing they incurred charges to pass-through. Claimants state that “this is because Respondent’s purported charges likely never occurred.” *Id.* (Citing Falcone Decl. ¶¶ 6(a)-(c)).

Claimants argue fifthly that “with all due respect to the Commission’s ruling on appeal, Respondent should be required to prove its actual charges.” Claimants contend that the Commission’s statement that “a carrier, under some circumstances, may recover reasonable charges it incurred without providing evidence that it incurred those charges,” based on *C.H. Leavell & Co. v. Hellenic Lines, Ltd.*, 13 F.M.C. 76, 89 (FMC 1969), “overstates the Commission’s

prior ruling in *C.H. Leavell* because no such circumstances exist here to diminish Respondent's burden of production." *Id.* at 2-3. Claimants note that in *C.H. Leavell* the carrier had expected to transport cargo 6,000 miles in 22 days, but because a war had closed the Suez Canal it was forced to travel 17,565 miles over 58 days instead, representing an increase of 164 percent in time and 193 percent in distance. Claimants state that in *C.H. Leavell* "the increased distance and duration was sufficient to overcome the presumption that the carrier's increased surcharges were unreasonable . . . [whereas h]ere, Respondent has shown no corresponding circumstances to justify an increased surcharge or to excuse it from proving actual costs." *Id.* at 3. Claimants further argue that "Respondent did not incur extra charges to avoid a voyage through a war zone" and that "there is no evidence Claimants' containers experienced anything other than a routine voyage." *Id.* Claimants argue that "[a]s a result, there is no providential cause to justify otherwise unreasonable surcharges" and "[u]nlike the carrier in *C.H. Leavell*, Respondent has no excuse for disclosing something other than actual costs . . . since Claimants have tendered evidence that Respondent's charges are objectively unreasonable." *Id.* Citing the Falcone declaration, Claimants maintain that while Overseas charged them \$18,850 for ocean freight, \$2,533.47 for fuel surcharges and \$1,941.56 for terminal handling charges, typical all-in rates would have been under \$1,000 per container. *Id.* (citing the Falcone Decl. ¶ 6(f)). Claimants state that Overseas's inability to document these high charges demonstrates that the charges were unreasonable. *Id.*

C. Overseas's Reply:

In response to Claimants' observations Overseas notes that while the specific invoices for the surcharges were not available it "did submit other invoices to illustrate how other NVOCCs charged their customers." Reply at 1. Overseas states that "[t]hese invoices were not presented as proof of Overseas's charges to Claimants but were provided to show that some NVOCCs include

fuel surcharges and U.S. terminal charges as separate and distinct individual charges and other NVOCCs include these charges in an all inclusive base quote for a proposed shipment of goods.”

Id. Overseas states that Claimants appear to have “misinterpreted the limited purpose for which the Respondent provided the additional documents . . . [and] seek to re-argue issues which have been fully addressed by both sides in their respective prior submissions in connection with this matter.” *Id.* Overseas asserts that Claimants’ arguments are a “mischaracterization of the existing record and incorrect assertions about Respondent’s intentions and business practices, none of which are supported by the record.” *Id.* at 2.

Similarly, Overseas argues that the Falcone declaration misinterprets Overseas’s affidavit and purpose and overly focuses on the ocean freight, which, according to Overseas were “typically just a small portion of the services requested by . . . Claimants,” such as packing, transporting the items in the U.S., storage in the U.S., delivery to the port, monitoring and arranging for the delivery of the shipment from the port in Europe to Claimants’ residence in Switzerland. *Id.* Overseas contend that the Falcone declaration is thus not helpful because it fails to “shed any light on the specific facts of this transaction.” Overseas urges that its affidavit be accepted for the limited purposes for which it was submitted and that Claimants’ arguments be rejected.¹⁰ *Id.*

DISCUSSION

Although Claimants appear to be arguing that the ocean freight charged by Overseas and the U.S. terminal handling charges and fuel surcharge pass-through charges were excessive, this decision solely relates to the issue of whether the U.S. terminal handling charges and fuel surcharge were reasonable pass-through charges, in compliance with the Commission’s remand order.

¹⁰ Respondent also noted that the Falcone declaration is unsworn. The Commission’s regulations require that the declaration contain the following statement if executed in the United States: “I declare (or certify, verify, or state) under penalty of perjury that the foregoing is true and correct.” 46 C.F.R. § 502.6(c)(2). The declaration contains such a statement and is signed by Falcone.

III. CONTROLLING AUTHORITY

A. Evidence and Burden of Proof

In all cases governed by the requirements of the Administrative Procedure Act, 5 U.S.C. 556(d), the burden of proof is on the proponent of the motion or the order.” 46 C.F.R. § 502.203. The term, “burden of proof” referenced in the APA’s section 556(d) means “the burden of persuasion.” *See, e.g., Kobel v. Hapag-Lloyd A.G., Hapag Lloyd America, Inc., Limco Logistics, Inc. and International TLC, Inc.* 33 S.R.R. 594, 597 (ALJ 2014) (quoting *Director, Office of Workers’ Comp. Programs v. Greenwich Collieries*, 512 US 267, 276 (1994)). “The party with the burden of persuasion must prove its case by a preponderance of the evidence.” *Id.* (quoting *Steadman v. SEC*, 450 US 91, 102 (1981)). When the party with the burden of persuasion produces sufficient evidence (characterized as a *prima facie* case), the burden of production shifts to the other party to produce evidence rebutting that case. *Petition of South Carolina Ports Authority for Declaratory Order*, 27 S.R.R. 1137, 1161 (FMC 1997). *See also Steadman*, 450 US at 101 n.16 (“Where a party having the burden of proceeding has come forward with a *prima facie* or substantial case, he will prevail unless his evidence is discredited or rebutted.”) (internal citations omitted). When direct evidence is unavailable inference may be drawn from certain fact and circumstantial evidence may be sufficient so long as the fact finder does not rely on mere speculation. *See Kobel*, 33 S.R.R. at 597 (citing *Waterman S.S. Corp v. General Foundries, Inc.*, 26 S.R.R. 1173, 1180 (ALJ 1993)). If the evidence produced by both parties is evenly balanced the party with the burden of evidence loses. *Id.* (citing *Greenwich Collieries*, 512 US at 281).

B. Claimants Have the Burden to Prove Their Allegations by a Preponderance of the Evidence

As the party alleging that the additional charges collected by Overseas were unreasonable and seeking a refund of those charges, Claimants have the burden to prove by a preponderance of

the evidence that Overseas was not entitled to collect the U.S. terminal handling charges and fuel surcharge from Claimants. *See, e.g., Kobel, supra*, 33 S.R.R. at 594 (stating that in order to prevail, the complainant has the burden to prove its allegations by a preponderance of the evidence). *Compare with, C.H. Leavell & Co. v. Hellenic Lines, Ltd.*, 13 F.M.C. 76, 89 (F.M.C. 1969) (“The burden of showing that the charges were unreasonable is upon complainant, although the fact of substantial charges alone is sufficient to require the carrier to come forward with some proof of their propriety.”)

The SCO decision and the Opinion and Order found that Claimants had proven by a preponderance of the evidence their allegation that Overseas violated section 41102(c), 46 U.S.C. § 41102(c) of the Shipping Act by forcing Complainants to pay certain additional charges that Overseas was not entitled to collect. *See* SCO Decision at 11; Opinion and Order at 10. While the Commission found that Overseas was not entitled to collect some charges (the \$9,925.00 ocean freight and \$627.43 U.S. terminal handling charges Overseas imposed for the additional 20-foot container), the Commission also found that Overseas had demonstrated that it was entitled to collect certain other charges (the \$898.00 local port fees; \$369.47 parking permit fee; \$803.13 second elevator fee; and \$271.00 customs inspection fees). Opinion and Order at 15-16. At this point, Overseas owes Claimants \$10,552.43, due to the payments it collected from Claimants found to be unreasonable charges. There is \$4,475.03 at issue in this decision.

Because the Commission determined that “there [were] not enough facts in the record to determine whether [the \$1,941.56 U.S. terminal handling charges and \$2,533.47 fuel surcharge] were reasonably assessed,” the Commission remanded the issue for determination. Opinion and Order at 16. In so doing, the Commission stated that “Respondent had [been given] a mere six weeks to obtain those invoices [from which Overseas passed-through the charges],” and suggested

that the undersigned request the invoices again from Overseas, anticipating that given a longer time to do so Overseas might be able to obtain the invoices. *Id.* In compliance with the Commission's Order the undersigned invited Overseas On November 2, 2016, to "submit any invoices or other proof of the charges it received in connection with the fuel surcharge and U.S. terminal handling charges by February 2, 2017." In the event Overseas was unable to produce the invoices Overseas was advised that "an affidavit so stating, and evidence showing the 'charges were similar to those assessed by other NVOCCs' [could] be submitted in their place." *See* November 2, 2016, email to Overseas and Claimants.

C. Claimants Have Met Their Burden to Prove by a Preponderance of the Evidence that the U.S. Terminal Handling Charges and Fuel Surcharge Imposed by Overseas Were Unreasonable

In support of their claim that the U.S. terminal handling charges and fuel surcharge imposed by Overseas were unreasonable Claimants submitted two CMA CGM invoices and a sworn declaration by John B. Falcone, chief executive of FGS, an NVOCC and freight forwarder. As Falcone shows, he is qualified to speak on the issue of whether the charges in question were reasonable because he has more than twenty years of experience in the NVOCC business. Falcone Decl. at 1. In addition, he runs an NVOCC, FGS, which specializes in the transportation of cargo between the United States and Europe, has shipped "thousands of containers between the United States and Europe . . . and regularly arranges the transportation of containers to and from the port of Rotterdam," where the transportation at issue occurred. *Id.* at ¶ 2. Additionally, Falcone states that because FGS regularly ships containers between the U.S. and Europe, he is "very familiar with typical container rates and typical surcharges for fuel and terminal handling." *Id.* at ¶ 3.

Falcone states that typically U.S. to Europe are "backhaul lanes" and that carriers typically build in fuel surcharges and terminal handling charges into the "all-in" rates they charge from the United States to Europe rather than charging them separately. Falcone further states that Overseas

could not produce invoices from the VOCC that transported Claimants' shipment supporting Overseas's fuel surcharge and the domestic terminal handling charges to Claimants because terminal handling charges and fuel surcharges "typically do not exist in this lane." *Id.* at ¶¶ 6a-b. Overseas did not produce evidence rebutting this testimony and the testimony is credible.

Additionally, similar to the 2016 rate quotes submitted by Overseas, Claimants submitted invoices for 2016. The invoices, which are for ocean transportation from the U.S to Europe, reflect much lower charges than the charges at issue. The "all-in" rate sheet issued to FGS by MSC in 2016 (*See* Falcone Decl. at ¶ 6f) from Baltimore, Maryland to Rotterdam, Netherlands reflects: a rate of \$846 for a 20-foot container, comprising charges of \$836 ocean freight and a \$10 Solas Admin Fee; a second rate of \$936 for a 40-foot container comprising charges of \$926 ocean freight and \$10 Solas Admin Fee; and a third rate of \$936 for a 40-foot high cube (HC) container, comprising charges of \$926 ocean freight and \$10 Solas Admin Fee. As shown, the only charges imposed by MSC separate from the ocean freight are the \$10 Solas administrative fees. Similarly, the CMA-CGM invoice issued to FGS in 2016 CGM for the transportation of a 20-foot container of Kraft paper and paperboard by ocean from New York, New York to the Port of Rotterdam reflects a total charge of \$350, comprising charges of \$250 ocean freight, \$25 export declaration surcharge and \$75 export documentation fee. None of the invoices submitted by Claimants for the U.S. to Rotterdam lane contain a separate terminal handling charge or fuel surcharge and reflect charges significantly lower than the additional charges by Overseas at issue. This supports Falcone contention that the invoices demonstrate that the fuel and terminal handling surcharges by Overseas were higher than reasonable for "all-in" freight rates. Falcone Decl. at ¶ 6f. As Falcone, who has substantial experience in the NVOCC business notes, the shipping surcharges in 2016

were higher than the shipping surcharges in 2014, but even with that, the surcharges imposed by Overseas of \$4,475.03 in 2014 are much higher than the increased surcharges in 2016. *Id.* at ¶ 6g.

Accordingly, Claimants made a prima facie showing that the U.S. terminal handling charges and fuel surcharges collected by Overseas were unreasonable.

D. Overseas Fails to Rebut Claimants' Showing that the U.S. Terminal Handling Charges and Fuel Surcharge Were Unreasonable

Because Claimants met their burden to demonstrate that the charges in question were unreasonable, in order to rebut their testimony Overseas needed to prove either that it incurred the pass-through charges and passed them through to Claimants or that the charges in question were similar to the charges assessed by other NVOCCs. *See Petition of South Carolina*, 27 S.R.R. at 1161 (stating that when the party with the burden of persuasion produces sufficient evidence the burden of production shifts to the other party to produce evidence rebutting that case); *Steadman*, 450 US at 101 n.16 (“Where a party having the burden of proceeding has come forward with a prima facie or substantial case, he will prevail unless his evidence is discredited or rebutted”). Overseas was “unable to produce separate invoices for the fuel surcharges and U.S. terminal handling charges” but submitted an affidavit stating that “the charges were just and reasonable and, therefore, appropriate. *See Aviani Affidavit* ¶ 3. Contrary to its representation, the evidence submitted by Overseas fails to rebut Claimants’ demonstration.

1. Overseas Did Not Provide Documentary Evidence Proving that Fuel Surcharges and U.S. Terminal Handling Charges Were Imposed on It.

As the Commission has noted, “[t]he basic purpose behind surcharges such as those in issue here is to reimburse the carriers for additional costs temporarily incurred by the performance of their service, and which costs the carriers are not recovering in their basic freight rates.” Opinion and Order at 14-15 (quoting *Imposition of Surcharge at U.S. Atlantic and Gulf Ports on Cargo Moving Between Said Ports and Lain Am. Ports*, 10 F.M.C. 13, 26 (FMC 1966)). The Commission

further noted, “[i]n order to be just and reasonable, the U.S. terminal handling and fuel surcharges assessed by Overseas must be pass-through charges with no markup.” Opinion and Order at 15.

As noted above, Overseas was invited to “submit [on or before February 2, 2017] any invoices or other proof of the charges it received in connection with the fuel surcharge and U.S. terminal handling charges.” Overseas did not produce an invoice from the vessel operator imposing a fuel surcharge and a domestic terminal handling charge on Overseas. It also did not produce a cancelled check or other documentary evidence showing that it paid a fuel surcharge and a domestic terminal handling charge to the carrier. Overseas states that is “unable to produce separate invoices for the fuel surcharges and U.S. terminal handling charges” but that “the absence of such separate invoices does not change the fact that these charges were just and reasonable and, therefore, appropriate charges submitted to the Claimants.” Aviani Affidavit at ¶ 3. If the charges had been imposed by the vessel operator, Overseas should have been able to produce the invoices. Overseas does not state why it cannot produce the invoices for the charges from the vessel operator and its proof of payment of the charges to the vessel operator despite being given an opportunity to address the issue.

Instead of invoices and proofs of payment, Aviani submitted an affidavit from its president stating that “[t]he U.S. terminal handling charges at issue were consistent with the costs incurred by Respondent at its warehouse based upon the personnel required to handle the Claimants’ possessions and to prepare these items for overseas shipment in accordance with the terms of the contract between the Claimants and the Respondent.” Aviani Affidavit at ¶ 4. Aviani contends that the fuel surcharges “were in accordance with industry standards for such charges.” *Id.* at ¶ 5.

Moreover, as the Commission noted, Overseas’s public tariff containing Overseas’s rules on assessorial charges provides:

Rule 2 – Application of Rates and Charges.

Rates apply . . . From/To Inland Point at Origin/Destination To/From Port of Loading/Discharge and, unless otherwise specifically provided, do not include Lighterage, Terminal Handling, Wharfage or any other Accessorial Charges [that] are established by Custom of the Port, by Port or Local Tariffs or by U.S. Customs. Any Accessorial charges which are assessed against the cargo will be for the account of the cargo, even if the Carrier is responsible for the collection thereof.

See Opinion and Order at 3.

The Commission found in *Chiarelli v. Pacon*, that an NVOCC which had a similar tariff rule was not entitled to pass-through the assessorial charge it collected because:

[t]hat tariff provision refers to “assessorial charges by custom of the port or local tariff.” In contrast here, the assessorial charge was charged by the ocean common carrier, and appears in [the ocean common carrier]’s tariff. It was not a charge by custom of the port or local tariffs, as specified in [the respondent NVOCC]’s tariff.

The Commission has repeatedly held that tariff provisions should be construed reasonably, and without a strained or unnatural construction. . . . The tariff provision relied upon in this proceeding is quite explicit in its application of customs of the port and to local tariffs. Neither could be reasonably interpreted to include ocean common carrier tariffs. Even if the tariff were ambiguous in any sense, a tariff’s ambiguity should be construed against the carrier which developed it, not against the carrier’s customer.

29 S.R.R. 335, 337 (FMC 2001) (emphasis in original). Setting aside the fact that the holding in *Chiarelli* suggests that Overseas’s tariff rule prevents Overseas from passing-through the assessorial charges in question if they were assessed by the VOCC rather than “by custom of the port or local tariff,” nothing in the record demonstrates that “[the] charges [at issue were] assessed against the cargo” in question. Overseas had three months after the November 2, 2016, order and close to two years since the initial request by the SCO on April 11, 2015, to get the proof from the entity that assessed the charges. These records would have helped to demonstrate that Overseas actually made the payments it seeks to pass-through, rebutting Claimants’ evidence.

2. Overseas Did Not Provide Evidence that the Charges Were “Similar to Those Assessed by Other NVOCCs”

In the event that it could not produce the actual invoices, Overseas was given an additional opportunity to demonstrate that the charges in question were “similar to those assessed by other NVOCCs.” Nothing in the evidence of record supports such a finding. Had the evidence demonstrated that the assessorial charges in question were similar to those charged by other NVOCCs Overseas might have been able to rebut Claimants’ evidence indicating that the charges were unreasonable.

Claimants contend that Overseas’s submissions fail to show Overseas is entitled to collect the terminal handling charges and fuel surcharges. CL. Brief at 1. Overseas argues in its reply that Claimants appear to have “misinterpreted the limited purpose for which the Respondent provided the additional documents . . . [because the affidavit and 2016 rate quotes submitted] were not presented as proof of Overseas’s charges to Claimants but were provided to show that some NVOCCs include fuel surcharges and U.S. terminal charges as separate and distinct individual charges and other NVOCCs include these charges in an all inclusive base quote for a proposed shipment of goods.” Reply at 1.

Overseas was “invited to submit any **invoices or other proof of the charges it received in connection with the fuel surcharge and U.S. terminal handling charges.**” *See* email to Overseas and Claimants dated November 2, 2016 (emphasis added). Overseas was not asked to demonstrate whether NVOCCs reflect their pass-through fees as separate charges or lump them together with the other charges in the invoice. In order to rebut Claimants’ evidence, Overseas merely needed to show it incurred the terminal handling charges and fuel surcharges and passed-through the same fees to Claimants, or in the event that the invoices for the charges were

unavailable, show that the terminal handling and fuel surcharges it assessed “**were similar to those assessed by other NVOCCs.**” *Id.* (emphasis added). Overseas fails to do so.

Accordingly, the evidence of record does not support a finding that Overseas is entitled to collect the U.S. terminal handling charges and fuel surcharges from Claimants.

E. C.H. Leavell

1. Discussion of *C.H. Leavell* in the Opinion and Order:

In remanding the SCO decision for a determination of whether Overseas reasonably assessed the fuel surcharge and U.S. terminal handling charges, the Commission cautioned that “[t]he invoices [for the charges passed-through to Claimants] . . . are not the only indication of whether the charges were reasonable,” and recommended that “the SCO look at other factors such as whether the charges were similar to those assessed by other NVOCCs” in the event Overseas was unable to produce the invoices. Opinion and Order at 16-17. As support, the Commission pointed to a statement in *C.H. Leavell & Co. v. Hellenic Lines, Ltd.*, 13 F.M.C. 76, 89 (F.M.C. 1969):

Respondent’s showing of increased voyage distance and is sufficient to overcome any presumption of unreasonableness; and there is no basis for a finding that the surcharges assessed were unreasonable, in the absence of any proof of unreasonableness. On the contrary, the record supports a positive finding that the surcharges assessed for the extra services rendered to complainant’s cargoes represented, in each case, a reasonable extra charge for such services.

Id. at 16.

Claimants object, “with all due respect to the Commission’s ruling on appeal,” to the Commission’s conclusion, stating that “Respondent should be required to prove its actual charges.” Cl. Brief at 2. Claimants argue that the Commission’s proposition, based on *C.H. Leavell*, that “a carrier, under some circumstances, may recover reasonable charges it incurred without providing evidence that it incurred those charges . . . overstates the Commission’s prior

ruling in *C.H. Leavell*, because no such circumstances exist here to diminish Respondent's burden of production." *Leavell*, 13 F.M.C at 2-3.

Due to the concerns raised by Claimants, the decision in *C.H. Leavell* is summarized below:¹¹

2. Facts and Holding in *C. H. Leavell*:

Leavell, a construction contractor, won a \$5,000,000 contract from the Agency for International Development ("AID") to construct a sewage project in Khartoum North, Sudan. Leavell shipped construction material and equipment for the Khartoum project aboard the *Hellenic Glory* and *Hellenic Pioneer*, two vessels belonging to Hellenic, a foreign-flagged vessel-operating common carrier, to Port Sudan, with Leavell as the consignee for the shipments. *C.H. Leavell*, *supra*, 13 F.M.C. at 77. *Hellenic Glory* was the first to leave the United States. Her first scheduled call was Alexandria, then after transiting the Suez Canal, Jidda, Port Sudan, Djibouti, Karachi (Pakistan), Rangoon (Burma), and Calcutta (India). *Id.* She was scheduled to arrive at Port Sudan June 14, 1967. *Id.* Freight charges were calculated based on Hellenic basic tariff rates, without the inclusion of any unusual or additional sum. *Id.* At the time she left on May 27, 1967, no one anticipated that she would not be able to transit the Suez Canal. *Leavell*, 13 F.M.C. at 77.

However, on June 4, 1967, when the *Hellenic Glory* was less than a day's steaming time from Gibraltar, war broke out between the United Arab Republic ("U.A.R.") and Israel. *Id.* at 78. After "steaming about in circles" for a day, waiting for instructions as to what to do, she was directed to make an unscheduled stop at Ceuta, Spain, for fuel to take advantage of Ceuta's bunkering facilities and to give Hellenic's New York office time to assess the situation. Every

¹¹ I note that neither party discussed *C.H. Leavell* in their filings prior to the SCO Decision and that the brief on remand was Claimants' first opportunity to address the *C.H. Leavell* holding.

effort was made to find out what was going on in Egypt and Israel in the Middle East. *Id.* On June 6th, President Nasser (of the U.A.R.) ordered the Suez Canal closed.

The *Hellenic Glory* was ordered to go to Heraklion, on the island of Crete, where she arrived on June 14th. The next day, June 15th, she arrived in Alexandria, the first scheduled port of call. *Id.* She was directed not to wait for the Canal to open, but to proceed to Jidda and Port Sudan via Gibraltar and the Cape of Good Hope (South Africa). She departed Alexandria June 17, stopped at Durban (South Africa) for fuel and, “after practically circumnavigating the African continent, arrived at Jidda July 21.” *Id.* After she discharged her Jidda cargo, she sailed out on July 24 and arrived at Port Sudan on July 25. *Id.* at 78-79. As of the date the Commission issued its decision, the Suez Canal had still not been opened. *Id.* at 79.

The *Hellenic Glory*’s scheduled voyage from New York to Port Sudan via Alexandria, the Suez Canal, and Jidda should have been 22 days and 6,000 miles. The actual voyage was one of 58 days and 17,566 miles from New York. “In terms of percentages of the scheduled time and mileage, the course followed added 164 percent in time and 193 percent in mileage.” *Id.* at 79. Hellenic added a 65 percent surcharge against all cargo on the *Hellenic Glory*, including Leveall’s cargo. *Leavell*, 13 F.M.C. at 79.

Leavell’s cargo on board the *Hellenic Pioneer* was loaded on to the vessel in New Orleans on May 29, 1967. It was contemplated that the vessel would follow the same scheduled routes, stops and arrangements as the *Hellenic Glory*, including transiting via the Suez Canal. *Id.* Hellenic charged a total freight of approximately \$18,000 for the shipment using its regular tariff rates. *Id.* The vessel left New Orleans on May 30, made stops at Baltimore and Philadelphia and arrived in New York on June 7, three days after the war began. It should have begun its voyage out of the

country on June 10, but was detained in New York until the situation in the Middle East could be assessed.

While the *Hellenic Pioneer* was in New York, Hellenic communicated on a daily basis with Leavell's freight forwarder who made all the shipping arrangements for the cargo aboard the Hellenic vessels. Hellenic was never instructed to off load Leavell's cargo in New York. *Leavell*, 13 F.M.C. at 79. On June 7, Leavell instructed its freight forwarder that he was "confirming telephone instructions Glory or Pioneer are not to sail without previously advising us so we may give instructions as to disposition of cargo" (*Id.*), and the forwarder relayed the message to Hellenic the same day. No further instructions were ever given to Hellenic despite the fact that Hellenic kept Leavell informed as to its intentions. *Id.* at 79-80. In addition, the evidence showed that once the decision to sail around the Cape of Good Hope was made, Leavell had cabled its Khartoum representative: "Glory sailing from Alexandria Friday and Pioneer from New York over weekend both via Cape for Port Sudan" indicating that Leavell was aware of the change in schedule for both vessels. *Id.* at 80. The Pioneer sailed from New York Friday, the 16th of June, and the Glory sailed from Alexandria Saturday the 17th. *Id.*

Although the evidence showed that there had been discussions between Leavell and his freight forwarder about the possibility of discharging Leavell's cargo in Genoa, Italy, or some other Mediterranean port when the *Hellenic Glory* was sailing toward Gibraltar, the evidence also showed that Hellenic had told the freight forwarder this would be very difficult because 2,000 tons of cargo destined for Jidda were on top of Leavell's cargo and would have to be offloaded before Leavell's cargo could be reached and then reloaded, and such a deviation "would require consideration from the standpoint of vessel and cargo insurance." *Leavell*, 13 F.M.C at 80. Leavell's freight forwarder subsequently telegraphed Leavell that Hellenic refused to offload its

cargo at Genoa “due to excessive exposure of damage and loss on super-imposed cargo”; and that both vessels were proceeding to ports of destination via the Cape of Good Hope. Hellenic’s witness denied that there was a refusal to offload and there was no other evidence in the record other than the hearsay telegram. *Id.*

On June 8, Hellenic filed a tariff amendment with the Commission, effective the same day, to add a 25 percent surcharge on all its rates due to the Middle East crisis. *Id.* at 79. On June 16, the *Hellenic Pioneer* sailed from New York for Jidda, via the Cape of Good Hope instead of via Gibraltar and the Suez Canal, the routes originally scheduled in New Orleans. She arrived at Jidda July 18th, left there July 20, and arrived at Port Sudan July 21. The distance was 11,649 miles and the travel time about 38 days, instead of the 6,000 miles and the 20 days the voyage would have taken had it gone through the Suez Canal, without a stop at Alexandria. “The mileage was thus increased by about 94 percent and the elapsed time by about 71 percent.” *Id.* Hellenic assessed a 25 percent surcharge, equivalent to \$4,544.52 against Leavell’s shipment on the *Hellenic Pioneer*. *C.H. Leavell*, 13 F.M.C. at 80.

Hellenic’s tariff Rule 3(a) provided in pertinent part:

If the expense of transiting the Suez Canal increases through any cause whatsoever except carriers’ fault, and/or in the opinion of HELLENIC LINES LIMITED it is unsafe, imprudent, inadvisable or unlawful, a Surcharge on all freight and charges as specified herein may be levied without notice regardless of the other provisions of this Rule; and owners of the goods shall pay the Surcharge.

C.H. Leavell, 13 F.M.C. at 81.

In addition, Clause 5 of Hellenic’s bill of lading for the cargo provided in pertinent part:

Without limitation of any other provision herein, in any situation whatever or wherever occurring and whether existing or anticipated before commencement of, or during the voyage, which, in the judgment of the carrier is likely to give rise to risk of capture, seizure, detention, damage, delay or disadvantage to, or loss of the ship or any part of the cargo or to make it unsafe, imprudent or unlawful for any reason to * * * continue the voyage or to give rise to delay or difficulty in arriving,

entering, discharging at or leaving the port of discharge * * * the carrier, whether or not proceeding toward or attempting to enter the port of discharge, may proceed by any route or return directly or indirectly to or stop at such other port or place whatever as the carrier may consider safe or advisable under the circumstances once or oftener, backwards or forwards in any order and discharge the goods at any place he may select there, or the carrier may retain the cargo on board until a return trip or until such time as the carrier thinks advisable and discharge the goods at any place whatever as herein provided, or the carrier may discharge and forward the goods by any means whatever, all at the risk and expense of the goods * * *. The carrier shall be entitled to a reasonable extra compensation for any services in connection with the foregoing above the agreed freight * * *.

C.H. Leavell, 13 F.M.C. at 81

Also, shortly after the decision was made to divert its vessels via the Cape of Good Hope, Hellenic sent to its shippers, including Leavell's freight forwarder, a copy of the Baltic Suez Stop Clause, incorporated into Clause 25 Hellenic's bill of lading. The Baltic Suez Stop Clause, drafted in 1956 by the Baltic and International Maritime Conference, an association of shipping lines and ship owners based in Copenhagen which has drawn various forms of bills of lading and charter parties, provides as follows:

If before the vessel commences loading navigation on the Suez Canal is interrupted the owners/carriers shall be entitled to cancel this contract; if navigation is interrupted as aforesaid after loading has commenced the vessel may proceed by some other route and the freight shall be increased in proportion to the longer sailing distances.

Id. at 81-82.

Leavell subsequently filed a complaint with the Commission to recover reparation for the surcharges collected by Hellenic, alleging that Hellenic's collection of the charges violated the Shipping Act, 1916. *Id.* at 76. The examiner who adjudicated the proceeding issued an initial decision finding that the surcharges were justified. Leavell and the Commission's Hearing Counsel, which intervened in the proceeding, filed exceptions. The Commission affirmed the

examiner's decision, finding that the surcharges were reasonable. The Commission stated (among other reasons given):

Under these circumstances we find no malfeasance in the actions of Hellenic in this case; and we find that in a proper case extra compensation may be provided for by the agreement of transportation set forth in the bill of lading, with the reasonable amount thereof to be determined **upon the occurrence and in light of the circumstances of the contingency**. However, resort to clauses in tariffs or bills of lading which affect a change in the tariff rate is closely circumscribed by the policy of section 18(b) [now 46 U.S.C. § 40501]. We interpret that section to mean that only where it is impossible to file a new rate (and seek special permission where required) will a carrier be allowed to depart from the tariff rate pursuant to emergency provisions. For example, this means that the emergency must occur while the vessel is at sea, or at least after the cargo has been loaded. And, of course, the emergency must be such that it was unforeseeable to a prudent steamship operator in the exercise of a high degree of diligence.

C. H. Leavell, 13 F.M.C. at 86 (emphasis added).

As the examiner found, the scheduled voyage of the *Glory* from New York – **the voyage upon which respondent's underlying rates were based – would have covered about 6,000 miles and required about 22 days. The actual voyage was one of 17,565 port-to-port miles exclusive of mileage to nonscheduled ports and steaming in circles while awaiting developments; an increase of 198 percent. The actual time was 58 days – an increase of 164 percent.** Even if half the carriers total costs-including voyage operating costs, overhead and depreciation – be assumed to consist of port and cargo costs which were not increased, and with due consideration for the relatively nominal saving of \$6,000 to \$7,000 in canal tolls, the 65 percent was reasonable.

Likewise, the record shows that **Pioneer's itinerary increased from a 6,000 mile, 20-day voyage to an 11,646-mile, 35-day voyage; an increase of about 94 percent in distance and 71 percent in time. Therefore, the 25 percent surcharge was reasonable under the circumstances.**

The burden of showing that the charges were unreasonable is upon complainant, although the fact of substantial surcharges alone is sufficient to require the carrier to come forward with some proof of their propriety. Both Hearing Counsel and complainant contend that the respondent must justify its surcharge by showing its actual costs and the increase therein attributable to the lengthened voyage. . . . But that is not the only way to show reasonableness. In the instant case, respondent's showing of increased voyage distance and duration is sufficient to overcome any presumption of unreasonableness. On the contrary, the record supports a positive finding that the surcharges assessed for the extra services rendered to complainant's cargoes represented, in each case, a reasonable extra charge for such services.

C.H. Leavell, 13 F.M.C. at 88-89 (internal citations omitted, emphasis added).

The foregoing is the context of the Commission's conclusions in *C.H. Leavell*.

IV. THE RECORD DOES NOT SHOW THAT OVERSEAS WAS ASSESSED THE PASS-THROUGH CHARGES

A. Overseas Is Only Entitled to Collect Charges Incurred and Passed-Through to Claimants

In the Opinion and Order, the Commission stated that in order to be just and reasonable in this case, the U.S. terminal handling and fuel surcharges assessed by Overseas must be "pass-through charges with no markup," and "assessing pass-through charges with no markup is a just and reasonable practice, in accordance with § 41102(c)." *See* Opinion and Order at 15 (quoting *Imposition of Surcharge at U.S. Atlantic and Gulf Ports on Cargo Moving Between Said Ports and Latin Am. Ports.*, 10 F.M.C. 13, 26 (FMC 1966)) (other citations omitted).

The Commission found that Overseas was entitled to collect the assessorial charges for which Overseas had provided the invoices showing the charges incurred. The Commission noted in those instances that:

- 1) Overseas did publish in its rules tariff that "any Accessorial Charges that are assessed against the cargo will be for the account of the cargo, even if the Carrier is responsible for the collection thereof." Opinion and Order at 15 (quoting Overseas's Tariff Rule 2.1).
- 2) In consonance with its rules tariff, Overseas charged Claimants for the following fees that it incurred in connection with shipping Claimants' cargo: U.S. terminal handling charges, fuel surcharge, local port fees, destination terminal handling charges, customs inspection fees, parking permit fee, elevator and additional floor fees. *Id.* (citing Overseas's Response (attached exhibits)).

- 3) Of these charges, Overseas provided invoices for the local port fees, customs fees, parking permit, elevator fee, and additional floor fee. These invoices demonstrate that Overseas assessed Claimants the same amount in charges as its destination agent assessed it, without any markup.

Opinion and Order at 15 (citing Overseas's Response (attached exhibits)).

Additionally, in reversing the SCO Decision that Overseas was not entitled to collect the automobile and customs inspection fees, the Commission stated that "these fees appear to be reasonable pass-through fees" because "Respondent did, however, provide corresponding invoices in English showing a customs inspection fee of 115 Euros for the automobile and 85 Euros for the motorcycle, for a total of 200 Euros (\$271)." *Id.* (citing Overseas's Response (attached exhibits)).

B. The Evidence Indicates that the U.S. Terminal Handling Charges and Fuel Surcharges Imposed by Overseas were not Pass-Through Charges

It is undisputed that the Commission "permit[s] carriers to recover their additional expenses." *See* Order at 14 (quoting *Imposition of Surcharge at U.S. Atlantic and Gulf Ports on Cargo Moving Between Said Ports and Lain Am. Ports.*, 10 F.M.C. 13, 26 (FMC 1966)). However, "[t]he basic purpose behind surcharges such as those in issue here is to reimburse the carriers for additional costs temporarily incurred by the performance of their service, and which costs the carriers are not recovering in their basic freight rates." Opinion and Order at 14-15 (quoting *Imposition of Surcharge at U.S. Atlantic and Gulf Ports on Cargo Moving Between Said Ports and Lain Am. Ports*, 10 F.M.C. 13, 26 (FMC 1966)). Overseas's response suggests that the charges in question were not charges for which Overseas was invoiced and seeks to pass-through to Claimants, but rather, were additional charges imposed by Overseas itself.

1. The U.S. Terminal Handling Charges

In its supporting affidavit Overseas maintains that the terminal handling charges were “consistent with the costs incurred by Respondent at its warehouse based upon the personnel required to handle the Claimants’ possessions and to prepare these items for overseas shipment in accordance with the terms of the contract between the Claimants and the Respondent.” Aviani Affidavit ¶ 4. Overseas did not provide an invoice showing that it was assessed any terminal handling charges that Overseas would have the right to pass-through to Claimants. Similarly, the evidence Overseas provided on the issue of whether the charges were similar to those assessed by other NVOCCs did not show that Overseas paid any U.S. terminal handling charges.

Overseas’s statement that the terminal handling charges were costs “incurred by Respondent at its warehouse based upon the personnel . . . to handle the Claimant’s possessions and to prepare these items for overseas shipment” suggests that these charges were additional charges imposed by Overseas itself, not the VOCC. As described by Overseas, these charges are not charges incurred from the VOCC that may be passed through to the shipper. Moreover, as the evidence shows, the services contracted by Claimants for the agreed freight included **“consolidation prior to shipping from Overseas’s warehouse.”** See Opinion and Order at 3. Thus, no additional payment was due to Overseas for preparing Claimants’ goods for overseas shipment since payment for this service was already covered by the freight.

2. The Fuel Surcharge

Similarly, Overseas’s contention that the “fuel surcharges applied were in accordance with industry standards for such charges” indicates that the fuel surcharges were not passed-through to Complainants from charges incurred from the vessel operator that transported the shipment but rather, was based on “industry standards for such charges.” See Aviani Affidavit ¶ 5. In addition, Overseas does not indicate which “industry standards” were applied.

V. THE 2016 DOCUMENTS SUBMITTED BY OVERSEAS DO NOT PROVE THAT THE CHARGES IMPOSED BY OVERSEAS IN 2014 WERE REASONABLE

A. The Documents Submitted By Overseas Have Limited Probative Value

The documents submitted by Overseas as evidence that its charges were “similar to those of other NVOCCs” contain a number of flaws that make them unhelpful:

1. They are quotes for services, not actual invoices for services rendered.
2. The transportation contemplated in the ECU quotes is from Port Everglades, Florida to Providenciales, Turks and Caicos. The transportation lane is thus not similar to the transportation lane for the transportation used in shipping Claimants’ goods (i.e., shipping from Arlington, Virginia to Geneva, Switzerland).
3. The transportation contemplated in the first Matson rate quote is for transportation by rail from the rail ramp in Kearny, New Jersey to the Port of Los Angeles, and then by ocean to the Port of Kawaihae, Hawaii. The second Matson rate quote contemplates rail transport from the rail ramp in Kearny, New Jersey to the Port of Oakland, and then by ocean to the Port of Kawaihae, Hawaii. The first segments of both transportation quotes are by land, while the remaining segments are by domestic ocean transportation. Thus the modes of transportation as well as the transportation lanes are not comparable to the transportation Overseas provided to Claimants. In addition the quotes are for Trans-Pacific routes, not for Trans-Atlantic routes (the routes by which Claimants’ shipment was transported).
4. The transportation under all three quotes were contemplated to occur in 2016, whereas Overseas provided the transportation at issue to Claimants in 2014. Thus the assessorial charges at issue occurred two years prior to the rate quotes offered for comparison. As the Falcone declaration notes, terminal handling and fuel surcharge rates were higher

in 2016 than in 2014, when Overseas shipped the containers at issue.¹² *See* Falcone Decl. at ¶ 6c. For this reason also, the rate quotes submitted by Overseas are not suitable to establish that Overseas's charges were similar to those of other NVOCCs.

The rate quotes submitted by Overseas are not probative to the issue whether the charges at issue were passed-through by the vessel operator or similar to NVOCC charges in 2014, when the transportation in question was provided. They are also not helpful in determining whether the charges were similar to those in the U.S. to Europe lane.

B. The Assessorial Charges by Overseas Are Higher than the Assessorial Charges in the U.S. to Europe Lane

In the sworn declaration submitted by Claimants Falcone, chief executive of FGS, an NVOCC, who has more than twenty years of experience in the NVOCC business, attests that carriers usually do not charge terminal handling and fuel surcharges separately from the ocean freight in the U.S. to Europe lanes, and that terminal handling charges and fuel surcharges “typically do not exist in this lane.” Falcone Decl. at ¶¶ 6a-b. Additionally, the invoices issued in 2016 by MSC and CMA-CGM submitted by Claimants for ocean transportation from the U.S to Rotterdam, reflect much lower charges than the charges at issue. The “all-in” rate sheet issued to FGS by MSC in 2016 (*See* Falcone Decl. at ¶ 6f) from Baltimore, Maryland, to Rotterdam, Netherlands, reflects that the only charges imposed by MSC other than the ocean freight were the \$10 Solas administrative fees, in contrast to the \$1,941.56 terminal handling charges and \$2,533.47 fuel surcharge imposed by Overseas. Similarly, the CMA-CGM invoice issued to FGS in 2016 for the transportation of a 20-foot container of Kraft paper and paperboard by ocean from New York, New York to the Port of Rotterdam reflects a \$25 export declaration surcharge and \$75 export

¹² I also note that Matson's 2016 quotes for the fuel surcharges are lower than Respondent's 2014 charges, representing 12.50% of the ocean freight rate, compared to Respondent's 14.41% rate.

documentation fee. None of the documents submitted by Claimants for the U.S. to Rotterdam lane contain a terminal handling charge or a fuel surcharge.

The Commission held in *C. H. Leavell* that **“the fact of substantial charges alone is sufficient to require the carrier to come forward with some proof of their propriety.”** *C.H. Leavell*, 13 F.M.C. at 89 (emphasis added). In this case the additional charges to Claimants are substantial - \$1,941.56 for the U.S. terminal handling charges and \$2,533.47 for the fuel surcharge – considering that the freight agreed upon by the parties was \$17,575, and the various additional charges (including those allowed because they were supported by invoices) increased that amount to \$40,267, representing a greater than 50% increase to the agreed freight.

Overseas did not produce any evidence rebutting Claimants’ evidence or provide any documents in connection with the U.S. terminal charges it assessed. Thus the record does not support a finding that Overseas is entitled to collect either the U.S. terminal handling charges or the fuel surcharge it collected from Claimants.

VII. CONCLUSION

The evidence does not show that Overseas incurred any U.S. terminal handling charges or fuel surcharges that it was entitled to pass-through to Claimants. The evidence does not show what U.S. terminal handling charges or fuel surcharges might have been imposed in 2014. By contrast, Claimants showed by a preponderance of the evidence that the charges in question were unreasonable and no evidence in the record rebuts that evidence. I, therefore, find that Overseas was not entitled to collect the U.S. terminal handling charges and fuel surcharge it collected from Claimants.

In light of the foregoing decision, Claimants are entitled to award of reparations in the amount of \$15,505.61, reflecting the difference between \$40,262.46, the amount Claimants paid,

and \$22,415.25, the amount it was determined in the SCO Decision that Overseas should collect, plus \$898 (the additional amount the Commission determined Overseas should be reimbursed for the local port fees; \$369.47 (the additional amount the Commission determined Overseas should be reimbursed for the parking permit fee); \$803.13 (the additional amount the Commission determined Overseas should be reimbursed for the additional elevator fee¹³); and \$271 (the additional amount the Commission determined Overseas should be reimbursed for the customs inspections fees).

Claimants are entitled to receive compound interest on the monetary award starting from June 30, 2014, in accordance with Rule 253 of the Commission's Rules of Practice and Procedure, and will receive notice of the amount to be paid as interest when the Commission issues its final action in this proceeding.

VIII. ATTORNEY FEES

As the prevailing party in this action, Claimants may be awarded reasonable attorney fees, pursuant to section 41305(e), which states: "In order to recover attorney fees, the prevailing party must file a petition within 30 days after a decision becomes final." *See* 46 U.S.C. § 41305(e). Unless the Commission chooses to review it within 30 days from the date of the service, this decision on remand will become final. *See* 46 C.F.R. §502.304(g).

Theresa Dike



Small Claims Officer

¹³ As noted on page 5, the Commission held that Overseas is entitled to the second elevator fee. Therefore, it is refunded.